Global Superstore – Profitability & Discount Impact Analysis

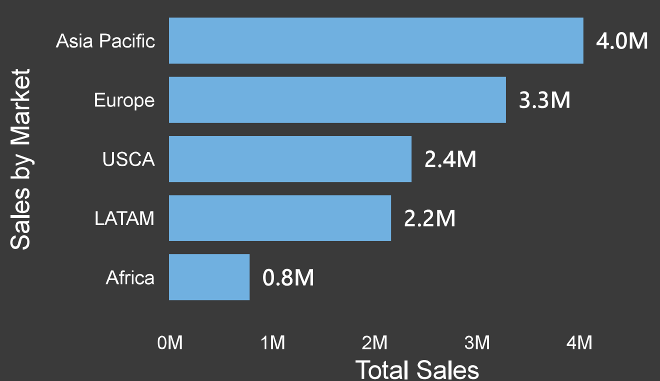
$12.64M
Sum of Sales

1.47M
Total Profit

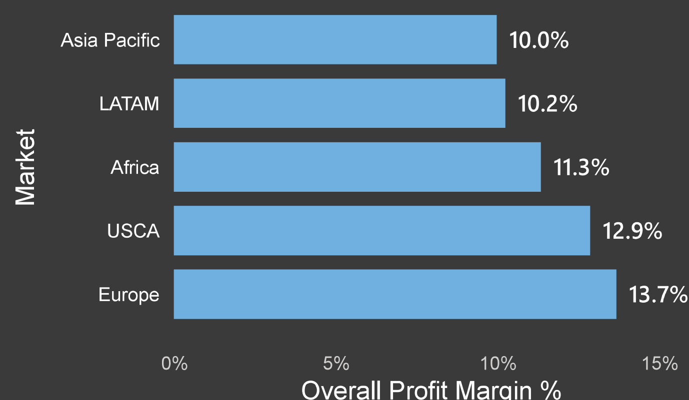
11.61%
Overall Profit Margin %

25.0%
High Discount Orders %

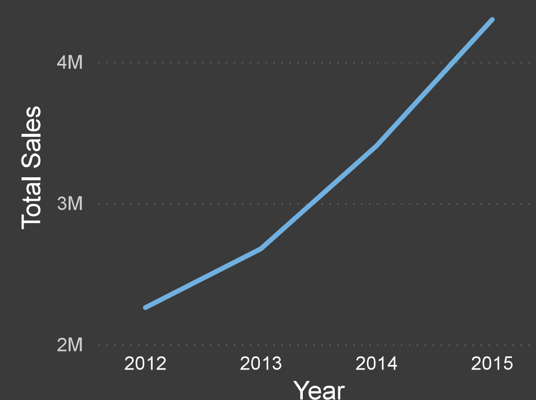
Revenue Concentration by Market



Market Profitability Comparison



Revenue Growth Trend (2012–2015)



Market
- ☐ Africa
- ☐ Asia Pacific
- ☐ Europe
- ☐ LATAM
- ☐ USCA

Category
- ☐ Furniture
- ☐ Office Supp...
- ☐ Technology

Year
- ☐ 2012
- ☐ 2013
- ☐ 2014
- ☐ 2015

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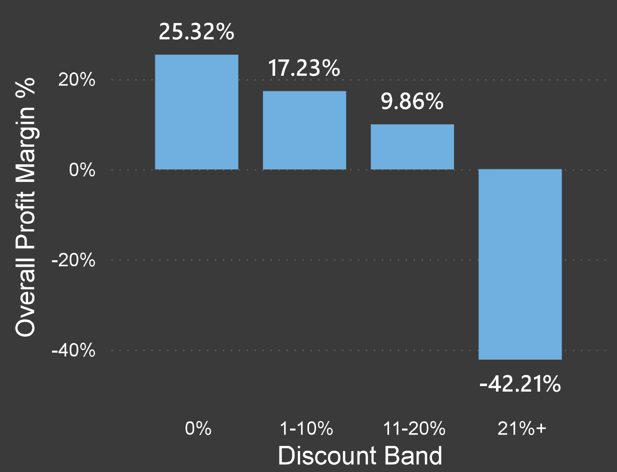
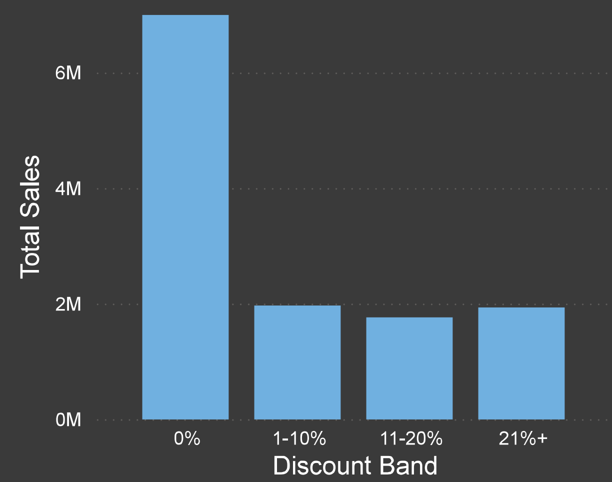
Profit Margin by Discount Level



Revenue Distribution by Discount Level



15.27%

High Discount Revenue %

Market × Discount Matrix

Market	0%	1-10%	11-20%	21%+	Total
Africa	24.7%	14.0%		-148.3%	11.3%
Asia Pacific	24.3%	16.3%	9.8%	-34.1%	10.0%
Europe	25.2%	16.6%	9.0%	-48.1%	13.7%
LATAM	23.9%	22.2%	6.7%	-41.5%	10.2%
USCA	29.3%	16.6%	11.6%	-37.3%	12.9%
Total	25.3%	17.2%	9.9%	-42.2%	11.6%

Category

- [ ] Furniture
- [ ] Office Supplies
- [ ] Technology

Year

- [ ] 2012
- [ ] 2013
- [ ] 2014
- [ ] 2015

Sub-Category

- [ ] Accessories
- [ ] Appliances
- [ ] Art
- [ ] Binders
- [ ] Bookcases
- [ ] Chairs

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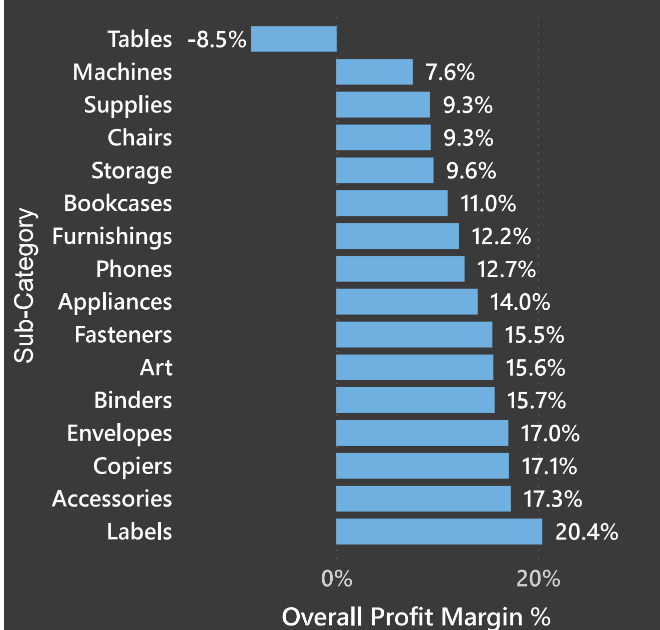
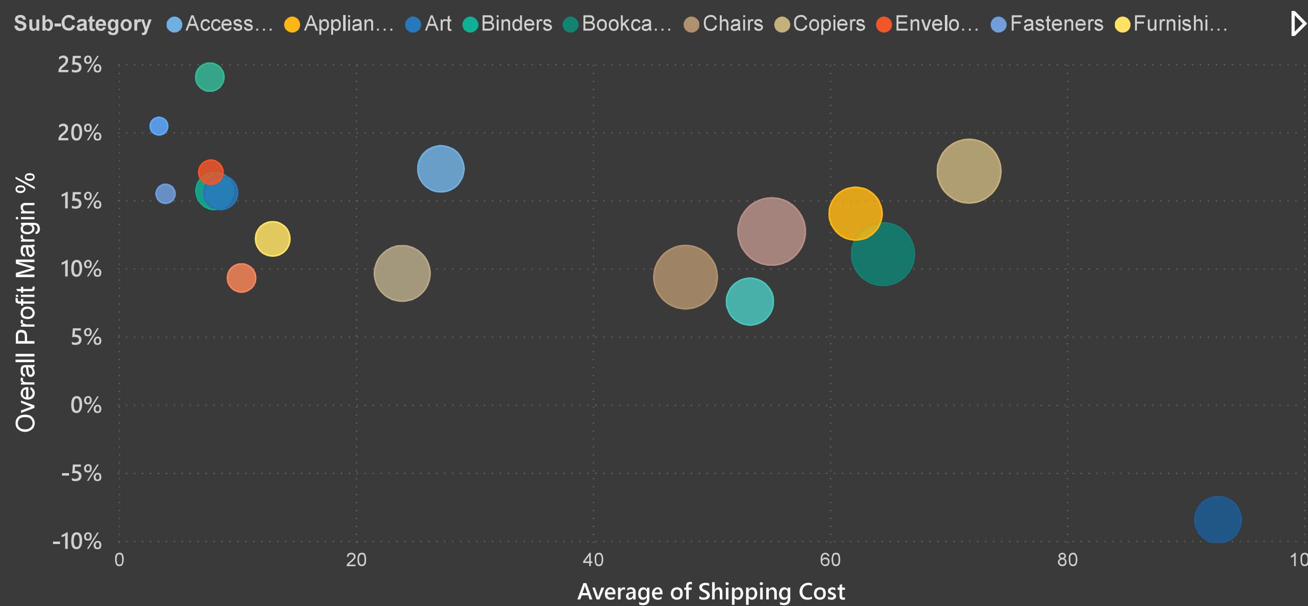
Profit Margin by Sub-Category



Average of Shipping Cost, Overall Profit Margin % and Total Sales by Sub-Category



Category

- [ ] Furniture
- [ ] Office Supplies
- [ ] Technology

1️⃣ Strengthen Discount Governance
Recommendation:
Implement structured approval controls for discounts exceeding 20% to prevent systematic margin erosion.
Key Actions:
• Establish approval workflow for discounts above 20%
• Introduce automated margin floor controls
• Align sales incentives to profitability, not just revenue
• Monitor high-discount exposure monthly
Impact:
Discounts above 20% currently generate –42% margin and require immediate governance oversight.

2️⃣ Correct Structural Loss in Tables
Recommendation:
Redesign pricing and cost strategy for the Tables sub-category to eliminate structural loss.
Key Actions:
• Reassess pricing model for Tables
• Cap discount exposure on high shipping-cost products
• Review shipping cost allocation structure
• Consider bundled offerings to improve contribution margin
Impact:
Tables operate at –8.5% margin and are highly sensitive to discounting.

3️⃣ Institutionalize Margin Monitoring
Recommendation:
Implement proactive profitability monitoring to prevent recurring margin leakage.
Key Actions:
• Track margin performance by discount band monthly
• Deploy real-time margin alert dashboard
• Segment customers by contribution profitability
• Conduct quarterly high-discount region audits
Impact:
Margin leakage is preventable through structured performance governance.